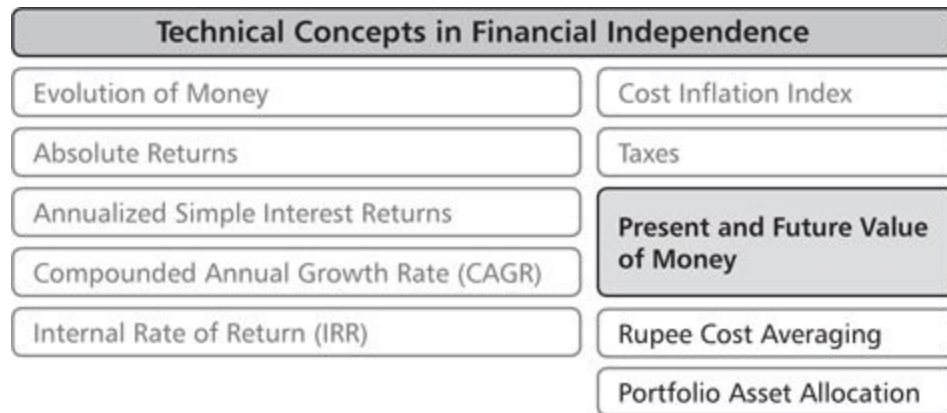




Present and Future Value of Money

One of the frequent formulae you would need to understand when dealing with your financial freedom is understanding how current money looks in past or in future. To be able to calculate the so called 'past' or 'future' value of the money you have in your hand currently, is therefore fundamental to plan your financial life.

And again, there is no rocket science here. It is the same formulae (Formula 3) that we used earlier for calculating CAGR, just that we rewrite it with a different perspective now:

Formula 6

$$\text{Future Value} = \text{Present Value} * (1 + r)^n$$

where

'Present Value' represents the present value of money

'r' represents the annual inflation rate

'n' represents the number of years from now you want to go.

'Future Value' represents the future value of the money after 'n' years.

Example 5